TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

Australian Financial Review (Phillip Coorey)
5 November 2026

Farrell: Trump's defeat proves tariffs hurt consumers

> Trade Minister Don Farrell will use the midterm result to press Washington to drop its tariffs on Australia. He also wants the Coalition to back the free trade deal with the European Union.

WHAT HAPPENED

- Farrell called the result a vindication of Australia's position that tariffs mainly raise prices for ordinary consumers.
- He will put the case to US Trade Representative Jamieson Greer and the US ambassador. The Prime Minister may raise it at two summits Trump is due to attend.
- The Coalition says it will vote against the Australia–EU FTA early next year. It argues the deal falls short on agriculture and ties Australia to climate commitments that could attract trade penalties.
- Both sides of politics agree that the cost of living, driven by Iran-war fuel prices and tariffs, decided the US result.
- Former treasurer Joe Hockey called it a vote against the incumbent and a warning for the Albanese government.

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International summits Albanese will attend where Trump is due

EU
Australia–EU FTA heads to parliament early next year

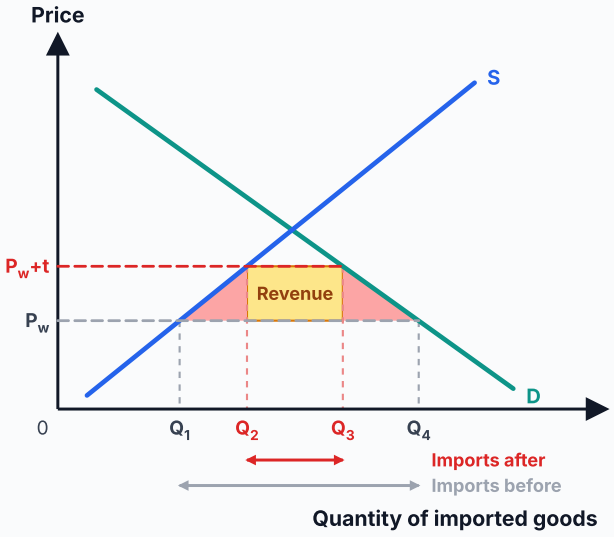
12.5%
Existing US tariff on Australian imports (AFR, 5 Nov)

Free trade agreement (FTA): a deal that lowers trade barriers between member countries

Trade liberalisation: reducing tariffs and other barriers to trade

DIAGRAM

Why tariffs raise prices for consumers



With free trade, consumers pay the world price P_w. A tariff raises the domestic price to P_w+t and cuts consumption from Q_4 to Q_3.

Consumers lose more than producers and the government gain together. The red **deadweight-loss** triangles show this. This is Farrell's argument in one picture.

Exam angle: When evaluating an FTA, weigh **gains from trade** (lower prices, export access, efficiency) against **adjustment costs** and any conditions attached to the deal (here, the climate commitments).

SYLLABUS LINK

Topic 2 – Australia's trade policy and trade agreements (Australia–EU FTA); Topic 1 – Effects of protection on consumers.

TRY THIS

1. Using a diagram, explain why tariffs raise prices for consumers. **(4 marks)**
2. Assess the potential benefits and costs for Australia of a free trade agreement with the EU. **(6 marks)**

Read more: AFR – Trump thrashing vindicates Australia's stance on tariffs: Farrell (5 Nov 2026)

Summary written in our own words for classroom use